- There was also a significant increase in rural wages. Rural wages in nominal terms went up by an average of over 18 per cent from 2008-09. Inflation-adjusted rural wages also went up by 7.5 per cent during this period.
- The ***input costs*** for producers in both the food and non-food segments, as reflected in the prices of feed, fodder and other inputs also increased. An increase in Minimum Support Price (MSP), while necessary to ensure remunerative returns to farmers, raised the floor prices and also contributed to the rise in input prices.

Healthy Range of Inflation

Higher inflation and higher growth as a trade-off was questioned in the late-1980s by the developed economies as the economic and social costs of higher inflation also needed policy attention—a costly 'trade-off'.[57] In coming times, most of the world economies went in favour of a stable inflation (i.e. ***inflation targeting***) though the idea has been ***protested***[58]. India also started inflation targeting by the early 1970s. It was in 1973 that the inflation crossed 20 per cent mark on account of the international oil price rise and the Government (the Indira Gandhi Government) devised a severe anti-inflation package which included directly restricting the disposable incomes of the people (this measure was used for the *first* time in India[59]). The package had an impact and by March 1975 the inflation calmed down to 5.7 per cent. This was the time when the RBI was given a new function 'inflation stabilization' and India entered the era of monetary controls for inflation. With inflation targeting there started a debate concerning the healthy range of inflation for the Indian economy i.e. by mid-1970s. We may have some official and non-official versions of the suitable range of inflation pointed out from time to time:

(i) The ***Chakravarty Committee (1985)*** treated 4 per cent inflation acceptable for the economy in its report on the monetary system. He also added that this level of price rise will facilitate the purpose of attracting investment for the desired level of growth.

(ii) The ***Government of India*** accepted a 4 to 6 per cent range of inflation as acceptable for the economy citing the world average of 0